Building to become **a comprehensive financial services player**

Analyst Presentation, Q3FY14

L&T Finance Holdings

Disclaimer

This presentation does not constitute or form part of any offer or invitation or inducement to sell or issue, or any solicitation of any offer to purchase or subscribe for, any securities of L&T Finance Holdings Limited (the “Company”), nor shall it or any part of it or the fact of its distribution form the basis of, or be relied on in connection with, any contract or commitment there for.

No representation, warranty, guarantee or undertaking, express or implied, is or will be made as to, and no reliance should be placed on, the fairness, accuracy, completeness or correctness of such information, estimates, projections or opinions contained here in. Potential investors must make their own assessment of the relevance, accuracy and adequacy of the information contained in this presentation and must make such independent investigation as they may consider necessary or appropriate for such purpose. Any opinions expressed in this presentation are subject to change without notice. Neither the Company nor any of its respective affiliates, advisers or representatives, including Lead Managers and their affiliates, or any other persons that may participate in the offering of any securities of the Company, shall have any responsibility or liability whatsoever (in negligence or otherwise) for any loss howsoever arising from any use of this presentation or its contents or otherwise arising in connection with this presentation.

The Company may alter, modify or otherwise change in any manner the contents of this presentation, without obligation to notify any person of such revision or changes. Certain statements made in this presentation may be “forward looking statements” for purposes of laws and regulations other than laws and regulations of India. These statements include descriptions regarding the intent, belief or current expectations of the Company or its directors and officers with respect to the results of operations and financial condition, general business plans and strategy and the competitive and regulatory environment of the Company. These statements can be recognized by the use of words such as “expects,” “plans,” “will,” “estimates,” “projects,” or other words of similar meaning. Such forward-looking statements are not guarantees of future performance and involve risks and uncertainties, and actual results may differ from those in such forward-looking statements as a result of various factors and assumptions, including future changes or developments in the Company’s business, its competitive environment, information technology and political, economic, legal and social conditions in India, which the Company believes to be reasonable in light of its operating experience in recent years. The Company does not undertake to revise any forward-looking statement that may be made from time to time by or on behalf of the Company.

This presentation is not for publication or distribution or release, directly or indirectly, in or into the United States (including its territories and possessions, any state of the United States and the District of Columbia), Australia, Canada or Japan or in any other country where such distribution may lead to a breach of any law or regulatory requirement. The information contained herein does not constitute or form part of an offer or solicitation of an offer to purchase or subscribe for securities for sale in the United States, Australia, Canada or Japan or any other jurisdiction. The securities referred to herein have not been and will not be registered under the U.S. Securities Act of 1933, as amended, and may not be offered or sold in the United States, except pursuant to an applicable exemption from registration.

Risk Factors and Disclaimers pertaining to L&T Mutual Fund
Mutual Fund Investments are subject to market risks, read all scheme related documents carefully.

Industry Overview

L&T Finance Holdings

Industry Overview

Key Positives

- Inflation moderates in Dec’13 on back of lower food inflation
  - CPI based inflation at 9.87%, food inflation lower at 12.16% while WPI eases to 6.16%
- Improving monetary situation
  - Benign outlook for CAD on the back of pick up in exports and substantial fall in gold imports
  - Exchange rates have stabilized, QE tapering in US expected to keep rates elevated
  - Reduction in MSF has softened short term interest rates and increased liquidity
- Good monsoons expected to lead to bumper Rabi crop
- Long due clearances to projects by CCI and environment ministry expected to be positive in medium term
- Signing of 7,500 MW of PPAs and integration of the southern grid with the national grid are positive for the power sector

Key Challenges

- Fiscal deficit target will constrain government spending on planned expenditure, impact capital expenditure, consumption and liquidity
- RBI expected to maintain current policy rates
  - Sluggish economic growth with services PMI at 46.7 and manufacturing PMI at 50.3
  - Core inflation continues to be high at 8.05% in Dec
  - Long term interest rates expected to remain high
- Liquidity expected to remain tight in Q4 on account of
  - Impending PSU disinvestments
  - Roll over of oil and fertilizer subsidies
  - Cyclical March end liquidity crunch
- No new reforms expected prior to general elections
- Power sector could be impacted by possible de-allocation of coal blocks allotted since 2005 and pull back in demand on back of low growth in economy

Uncertain macro environment resulting in a subdued investment climate ; stress continues in the economy

Performance Summary

L&T Finance Holdings

Business Strategy

Retail & Mid-Market Finance	• Strategic shift towards B2C (rural products, personal vehicle & housing finance) segment continues to pay off
	  • While rural products continue to show healthy growth, the key acquisitions made in FY13 – FamilyCredit and Indo-Pacific Housing Finance aid momentum in growth
	• Remain cautious in lending to B2B (mid-market, construction equipment & commercial vehicle) segments
	  • Primary focus on maintaining asset quality, selective in incremental disbursements

Wholesale Finance	• Close monitoring of credit quality of assets • Focus on addition of operational and non-infra assets • Commencement of IDF – NBFC business
Investment Management Business	• Build scale with a desirable asset-mix and ensure tight cost controls to improve profitability • Strategic acquisition and the successful integration of Fidelity MF aids in achieving break even on run rate basis

Highlights – Q3FY14

Performance overview

- Healthy 21.1% Y-o-Y growth in loan assets with disbursement growth at 14.6% Y-o-Y in a challenging environment
- Retail finance saw improved NIMs, while NIMs in Wholesale segment impacted by Restructured Assets
- Asset quality under stress – slippages in CE/CV/corporate and increase in restructured cases during Q3
    - Credit costs at elevated levels; gradual improvement expected from Q4FY14
- TTM ratios demonstrate improving trends on most parameters
- Improvement in financial performance of the AMC continues – has achieved break even on a run-rate basis while continuing on its growth path

Note: TTM – Trailing Twelve Months

Summary Financial Performance – Key Operating Entities

Q3FY13	YTDFY13	FY13	(Amounts in Rs. Cr.)	Q2FY14	Q3FY14	YTDFY14	Y-o-Y 9M vs 9M
Lending Businesses (Retail & Mid-Market, Wholesale, Housing Finance)							
31,230.5	31,230.5	33,309.9	Loans and Advances	35,458.7	37,820.4	37,820.4	21.1%
6,656.1	15,556.2	22,994.8	Disbursements	5,544.0	6,422.3	17,826.0	14.6%
379.9	1,091.0	1,539.6	NIM	470.5	487.3	1,428.6	31.0%
303.9	846.2	1,214.1	Contribution before credit cost	372.0	330.2	1,047.9	23.8%
136.3	406.9	612.6	PAT	178.4	128.5	461.4	13.4%
5.28%	5.32%	5.34%	NIM (%)	5.38%	5.32%	5.41%	-
2.39%	2.39%	2.03%	Gross NPA (%)	2.89%	2.93%	2.93%	-
11.74%	12.24%	13.31%	ROE (%)	12.29%	8.55%	10.71%	-
Investment Management							
12,064.1	12,064.1	11,169.0	Average AUM	15,078.9	17,002.5	17,002.5	40.9%
(14.3)	(29.0)	(44.9)	PAT before amortization	1.7	1.3	(0.4)	-

- Robust growth in loan assets largely on account of B2C segment and opportunities in operating assets in infra sector
- Dip in NIMs in Q3 due to non-accrual of interest on restructured assets
- Contribution before credit cost in Q2 was higher on account of gains on liquid investments and sale of equity assets
- Higher credit costs impact PAT growth
- Growth in AAUM for the investment management business due to strong net sales performance

Notes : Q3FY13 and YTDFY13 numbers (except loans and advances) do not include FamilyCredit

Summary Financial Performance – LTFH Consolidated

Q3FY13	Particulars (Rs. Cr.)	Q2FY14	Q3FY14	Y-o-Y
118.3	PAT (before exceptional items)	155.7	109.7	(7.3)%
294.6	PAT	155.7	109.7	-

YTDFY13	Particulars (Rs. Cr.)	FY13	YTDFY14	Y-o-Y
382.8	PAT(before exceptional items)	558.8	410.4	7.2%
559.0	PAT	730.5	410.4	-

Q3FY13	FY13	(Amounts in Rs. Cr.)	Q2FY14	Q3FY14	Y-o-Y
Summary Balance Sheet					
5,415.0	5,485.2	Net worth (excluding Preference capital)	5,757.6	5,859.0	8.2%
27,063.4	28,292.3	Borrowings	32,068.5	32,415.6	19.8%

Rs Cr.	Networth
Retail Lending	3,169.8
Wholesale Lending	2,902.3
Investment Management	569.9

L&T Finance Holdings

Business – Outlook and Performance

L&T Finance Holdings

Retail & Mid-Market Finance – Market Scenario & Outlook

Segment	Outlook
Rural Products	• Tractor sales clocked impressive growth of 23% during Apr-Dec due to good monsoons in most of the states • Tractor industry growth expected to grow at 8%-10% in FY15 (Source : TMA)
Construction Equipment	• CE sales continue to de-grow in excess of 20 % due to pending policy decisions, non-release of funds in approved projects, land acquisition/environmental clearance issues and relatively higher interest rates.
Auto & Transportation	• 2W sales growth positive, expected to maintain growth momentum in Q4FY14 • Big drop in CV segment mainly due to slowdown in economic activity and stagnant freight rates; negative impact being seen in LCV segment also • Higher interest rates, fuel cost and ownership costs continue to dampen sales in personal vehicle segment
Microfinance	• Strong demand continues; regions affected by cyclone Phailin may see some dip in asset quality and demand
Mid-Market	• Economic slowdown has resulted in longer working capital cycles and a weak investment climate • Credit downgrades continue to outpace credit upgrades, largely due to demand slowdown and liquidity issues – CRISIL downgraded 478 companies compared to 417 upgrades • Credit appetite for mid and large corporates continues to be subdued due to risk aversion, cost and time overruns in existing projects, high leverage and deteriorating cash flows • Improvement in macro-economy key to reversal of current downtrend in credit quality

Segment (SIAM)	FY13 Growth (%)	Q2FY14 Growth (%)	FY14 Projection (%)
Cars	(6.7)%	(4.9)%	(3.0%-5.0%)
UV	52.0%	(4.3)%	(3.0%-5.0%)
LCV	14.0%	(13.9)%	(7.0%-8.0%)
MHCV	(23.0)%	(26.9)%	(22.0%-25.0%)
CV (Total)	(2.0)%	(18.3)%	(17.0%-19.0%)
2W	2.9%	5.4%	6.0%-8.0%

Focus on B2C (rural products, personal vehicle); selective lending to B2B (corporate, CE, CV)

Retail & Mid-Market Finance

DISBURSEMENTS							
Q3FY13	**YTDFY13**	**FY13**	**Rs. Cr.**	**Q2FY14**	**Q3FY14**	**YTDFY14**	**9M v/s 9M**
935	2,144	3,011	Rural Products Finance	874	1,367	3,141	46%
145	347	770	Personal Vehicle Finance[1]	489	526	1,460	321%
80	195	314	Microfinance	159	140	394	102%
440	1,145	1,515	Construction Equipment Finance	212	213	682	-40%
171	623	768	Transportation Equipment Finance	151	84	411	-34%
1,450	4,265	5,728	Supply Chain Finance	1,251	1,290	3,875	-9%
640	1,679	2,343	Mid-Market Loans and Leases	330	591	1,566	-7%
494	1,016	1,683	Capital Market Products	330	541	1,296	28%
4,354	**11,413**	**16,131**	**Total**	**3,798**	**4,752**	**12,828**	**12%**

LOANS & ADVANCES						
Q3FY13	**Q3FY13 (%)**	**FY13**	**Rs. Cr.**	**Q2FY14**	**Q3FY14**	**Q3FY14 (%)**
3,123	18%	3,445	Rural Products Finance	3,977	4,616	24%
1,975	11%	2,072	Personal Vehicle Finance[1]	2,349	2,540	13%
179	1%	217	Microfinance	304	332	2%
3,145	18%	3,019	Construction Equipment Finance	2,639	2,751	14%
2,033	12%	1,935	Transportation Equipment Finance	1,698	1,539	8%
1,026	6%	1,129	Supply Chain Finance	924	968	5%
4,425	25%	4,624	Mid-Market Loans and Leases	4,829	4,633	24%
1,743	10%	1,708	Capital Market Products	2,073	2,229	11%
17,649	100%	**18,148**	Total	**18,793**	**19,609**	**100%**

Disbursement growth continues to be driven by B2C products – rural products and personal vehicle finance

Notes:

[1] Q3FY13 and YTDFY13 disbursement numbers do not include FamilyCredit

L&T Finance Holdings

Retail & Mid-Market Finance – Summary Financials

Q3FY13[1]	YTDFY13[1]	Summary P&L (Rs. Cr.)	Q2FY14	Q3FY14	YTDFY14	Y-o-Y 9M vs 9M	FY13	TTM
562.2	1,629.5	Interest Income	704.6	726.8	2,089.3	28.2%	2,275.7	2,735.5
341.3	987.2	Interest Expense	410.7	423.6	1,206.3	22.2%	1,358.0	1,577.2
220.9	642.3	NIM	293.9	303.3	883.0	37.5%	917.7	1,158.3
12.0	29.9	Fee Income	10.0	8.9	28.8	-3.7%	46.8	45.7
87.5	255.5	Operating Expense	126.1	139.8	381.5	49.3%	372.5	498.5
145.3	416.8	Contribution before credit cost	177.9	172.4	530.3	27.2%	592.0	705.5
74.7	186.2	Credit Cost	73.2	90.8	244.5	31.3%	247.2	305.5
51.5	163.4	PAT	69.4	63.1	206.0	26.1%	262.2	304.8
4,354.4	11,413.4	Disbursements	3,798.0	4,751.7	12,827.6	12.4%	16,131.5	17,545.7

Q3FY13	FY13	Summary BS (Rs. Cr.)	Q2FY14	Q3FY14	Y-o-Y
17,649.3	18,148.8	Gross Loans & Advances	18,793.4	19,608.4	11.1%
15,546.0	15,055.7	Borrowings	16,491.2	16,696.4	7.4%
2,716.3	2,824.6	Networth	2,802.8	2,874.2	5.8%
490.5	448.7	Gross NPAs	633.3	685.0	
268.1	237.0	Net NPAs	370.0	446.5	

- Consistent improvement in NIMs over the last few quarters
- Opex includes one time integration related costs of Rs. 6.3 Cr for Q3 (Rs 13.6 Cr for 9M period)
- As of Dec 2013, provision over RBI norms is Rs 156.1 crs with assets worth Rs 39.9 crs lying in repossessed stock

Notes

[1] Q3FY13 and YTDFY13 P&L numbers do not include FamilyCredit

L&T Finance Holdings

Retail & Mid-Market Finance – Key Ratios

Q3FY13[1]	YTDFY13[1]	Key Ratios	Q2FY14	Q3FY14	YTDFY14	FY13	TTM
14.22%	14.20%	Yield	14.55%	15.14%	14.66%	14.06%	14.61%
9.80%	9.88%	Cost of Funds	10.29%	10.21%	10.10%	9.77%	9.95%
5.59%	5.60%	Net Interest Margin	6.27%	6.32%	6.26%	5.67%	6.24%
0.30%	0.26%	Fee Income	0.21%	0.19%	0.20%	0.29%	0.25%
2.21%	2.23%	Operating Expenses	2.70%	2.91%	2.71%	2.30%	2.69%
3.68%	3.63%	Contribution before credit cost	3.81%	3.59%	3.76%	3.66%	3.80%
1.89%	1.62%	Credit Cost	1.57%	1.89%	1.74%	1.53%	1.65%
8.43%	9.12%	Return on Equity	9.89%	8.89%	9.71%	10.38%	10.86%
1.18%	1.31%	Return on Assets	1.39%	1.23%	1.38%	1.50%	1.54%
5.82	5.82	Gearing	5.88	5.81	5.81	5.33	5.81
2.16%	2.16%	Gross NPA %	3.42%	3.54%	3.54%	2.50%	3.54%
1.65%	1.65%	Net NPA %	2.03%	2.34%	2.34%	1.34%	2.34%
14.40%	14.40%	CRAR (Tier 1)	14.23%	14.04%	14.04%		
2.05%	2.05%	CRAR (Tier 2)	1.90%	1.90%	1.90%		
16.44%	16.44%	CRAR (Total)	16.13%	15.93%	15.93%		

- NIMs continue to show improvement on account of conscious focus on retail assets and personal vehicle finance
- Drop in RoE despite NIM improvement due to increase in opex and credit costs
    - Increase in opex in Q3 largely due to one-time costs for integration of FamilyCredit
    - GNPA increase mainly due to stress in the construction equipment and commercial vehicle segments
- Outlook for Q4 – Opex expected to stabilize at Q2 levels and credit cost is expected to subside

Notes:
[1] Ratios are excluding FamilyCredit for Q3FY13 and YTDFY13
Credit costs include provisions, write offs, foreclosure losses, interest provisions/reversals

Housing Finance

Key Focus Areas

- Achieve a balanced portfolio mix between Home Loans, Loan Against Property (LAP) and Construction Finance (Residential Construction)
- Maintain disbursement momentum in the 15 operational markets
- Focus on enhancing customer service through the inbound call center

Acquisition of Mortgage Loan Portfolio

- Housing Finance business acquired a mortgage loan portfolio via assignment route
  - POS of ~Rs 698 Cr (of which ~Rs. 126 Cr is booked in FamilyCredit) , with LAP amounting to ~76% of acquired portfolio, improving the overall yield
- Rationale for acquisition –
  - Gives meaningful size and improves the market standing within a year of operations
  - Efficient capital utilization – no additional infusion required to support the portfolio
  - Widens the reach – customers spread across 68 cities and 16 states
  - Better absorption of overheads, existing team to oversee portfolio servicing

Housing Finance – Summary Financials

Book Composition	Q3FY13	Q4FY13	Q1FY14	Q2FY14	Q3FY14
Home Loans	82%	65%	56%	53%	51%
LAP	18%	30%	31%	31%	39%
CF	-	5%	13%	16%	10%

Q3FY13[1]	Q4FY13	Particulars (Rs. Cr.)	Q1FY14	Q2FY14	Q3FY14
195.3	326.4	Loan Book	519.6	786.8	1,567.0
31.0	140.5	Disbursements	205.6	294.4	334.4
1.40%	0.67%	GNPA (%)	0.43%	0.32%	0.56%
0.74%	0.21%	NNPA (%)	0.12%	0.08%	0.38%
1.1	(0.9)[2]	PAT	1.9	3.2	(2.6)
144.2	143.4	Networth	295.3	298.1	295.6
0.4	1.3	Gearing	0.6	2.5	4.2

- Momentum in disbursements continues with 24.5% growth in Q3 over Q2
- Increase in GNPA in Q3 on account of specific liquidity stress seen in few accounts, expect improvement in Q4FY14
- Losses for Q3 on account of transactions related costs of Rs. 2.3 Cr and one time standard asset provision of Rs. 1.9 Cr for the acquired portfolio

Notes:
[1] Figures for the period from Oct 9, 2012 to Dec 31,2012
[2] PAT includes exceptional expenses amounting to Rs. 3.8 Cr towards bonus paid to IPHF employees

L&T Finance Holdings

Wholesale Finance – Market Scenario & Outlook

Segment	Outlook
Thermal Power	• Almost 7,000 MW of PPAs signed under Case I bid by TN, UP & Rajasthan in this financial year • Southern grid interconnection is a step further towards achieving synchronisation with the national grid • Electoral compulsions for downward revision of power tariff in Delhi likely to put pressure on other discoms • Court-mandated CBI investigations into Coal Block allocations continues to delay mining - Apr-Oct 2013 import of coal for power generation jumped 28%
Renewable Energy	• Limited pipeline of new projects due to uncertainty over PPAs • Upward revision of RPO limits and stricter enforcement is the need of the day to keep the investment flowing
Roads	• Negative traffic growth rates and high interest rates impacting road projects cash flows. • Land acquisition and environmental issues continue to affect implementation of road projects • No new green-field projects awarded by NHAI in this financial year - significant slowdown in fresh investments
Telecom	• Data usage which has nearly doubled in the last year is expected to drive incremental growth in the sector • Telecom operators' financial/operational metrics expected to improve with increasing tariff and expected consolidation going forward • Clarity still required on M&A, spectrum sharing and auction
Others	• Delay in payment of dues and slower arbitration process with government agencies continue to exert pressure on liquidity situation of contractors • Lack of new order release from government agencies in a move to cut back/postpone fiscal spend is negatively effecting capex cycle • Land acquisition bill likely to increase project costs for developers

Focus on non-infra and operational assets across sectors

Wholesale Finance

DISBURSEMENTS							
Q3FY13	**YTDFY13**	**FY13**	**Rs. Cr.**	**Q2FY14**	**Q3FY14**	**YTDFY14**	**YTD '14 v/s YTD'13**
208	412	697	Thermal Power	87	382	549	33%
249	715	1,290	Renewable Power	232	101	635	-11%
51	307	960	Power – Corp[1] + T&D	87	66	648	111%
287	867	1,542	Transportation	638	231	1,154	33%
945	987	987	Telecom	16	21	43	-96%
530	823	1,169	Others[2]	393	535	1,135	38%
2,271	**4,112**	**6,645**	**Total**	**1,452**	**1,336**	**4,164**	**1%**

LOANS & ADVANCES					
Q3FY13	**FY13**	**Rs. Cr.**	**Q2FY14**	**Q3FY14**	**% Composition**
1,841	2,133	Thermal Power	2,083	2,435	15%
2,585	3,078	Renewable Power	3,183	3,079	18%
1,349	1,866	Power – Corp[1] + T&D	2,215	2,118	13%
2,236	2,328	Transportation	2,966	3,204	19%
1,890	1,856	Telecom	1,816	1,768	11%
3,483	3,573	Others[2]	3,615	4,041	24%
13,384	**14,834**	**Total**	**15,878**	**16,645**	**100%**

Portfolio Break Up

Corporate 33%

Projects 63%

- Operating 32%
- U/C 31%

Equity & Investments 4%

- Top 10 borrowers represent 19 % of the outstanding
- Top 10 borrower groups form 25 % of outstanding

Continue to be selective in lending to new projects, focus continues to be on high quality and larger- ticket relationships

Notes: [1] Corporate loans to Power companies ; [2] Others includes IT parks/SEZs, infra project implementers, captive mining for power projects, healthcare, solid waste management, water treatment, select hotels, etc.;

L&T Finance Holdings

Wholesale Finance – Summary Financials

Q3FY13	YTDFY13	Summary P&L (Rs. Cr.)	Q2FY14	Q3FY14	YTDFY14	Y-o-Y 9M v/s 9M	FY13	TTM
405.1	1,161.9	Interest Income	482.3	499.4	1,459.7	26%	1,598.4	1,896.2
250.8	717.9	Interest Expense	313.9	328.5	943.4	31%	987.8	1,213.3
154.3	443.9	NIM	168.4	170.9	516.3	16%	610.6	682.9
9.3	24.9	Fee Income	5.6	1.4	9.8	(60)%	45.0	30.0
3.1	5.1	Other Income	40.6	5.5	54.8	-	8.2	58.0
20.4	56.9	Operating Expense	26.4	22.4	74.8	32%	79.4	97.3
146.3	417.0	Contribution before credit cost	188.2	155.5	506.1	21%	584.4	673.6
31.1	74.9	Credit Cost	48.0	65.0	165.3	121%	109.4	199.8
83.7	242.4	PAT	105.9	68.0	252.8	4%	350.2	360.0
2271.0	4,112.1	Disbursements	1,451.9	1,336.3	4,163.6	1%	6,644.5	6,629.3

Q3FY13	FY13	Summary BS (Rs. Cr.)	Q2FY14	Q3FY14	Y-o-Y
13,384.7	14,834.8	Gross Loans & Advances	15,878.2	16,644.9	24%
11,144.0	12,558.0	Borrowings	14,236.4	14,072.0	26%
2,242.7	2,313.6	Networth	2,858.1	2,902.3	29%
233.3	208.7	Gross NPAs	357.1	373.4	
200.1	168.6	Net NPAs	283.9	289.3	

- Recoveries on existing accounts , offset by additional slippages leading to marginal rise in GNPA
- Credit cost increase on the back of overdue and restructured assets
- As of Dec 2013, the provision over RBI norms stands at Rs.143.7 Cr.

Wholesale Finance – Key Ratios

Q3FY13	YTDFY13	Key Ratios	Q2FY14	Q3FY14	YTD FY14	FY13	TTM
12.70%	12.97%	Yield	12.40%	12.28%	12.44%	12.77%	12.48%
9.41%	9.63%	Cost of Funds	9.86%	9.56%	9.65%	9.44%	9.57%
4.82%	4.92%	Net Interest Margin	4.33%	4.20%	4.40%	4.88%	4.49%
0.29%	0.28%	Fee Income	0.15%	0.04%	0.08%	0.36%	0.20%
0.10%	0.06%	Other Income	1.04%	0.14%	0.47%	0.07%	0.38%
0.64%	0.64%	Operating Expenses	0.68%	0.55%	0.64%	0.63%	0.64%
4.56%	4.62%	Contribution before credit cost	4.84%	3.82%	4.31%	4.67%	4.43%
0.95%	0.84%	Credit Cost	1.23%	1.60%	1.41%	0.87%	1.31%
15.74%	16.09%	Return on Equity	15.67%	9.54%	12.69%	16.92%	13.99%
2.54%	2.63%	Return on Assets	2.51%	1.54%	2.02%	2.72%	2.23%
4.97	4.97	Gearing	4.98	4.85	4.85	5.43	4.85
1.82%	1.82%	Gross NPA %	2.36%	2.40%	2.40%	1.46%	2.40%
1.56%	1.56%	Net NPA %	1.89%	1.87%	1.87%	1.18%	1.87%
15.07%	15.07%	CRAR (Tier 1)	16.12%	16.22%	16.22%		
1.70%	1.70%	CRAR (Tier 2)	1.49%	1.50%	1.50%		
16.77%	16.77%	CRAR (Total)	17.61%	17.72%	17.72%		

- Drop in NIM in Q3 on account of non-accrual of interest on restructured cases
- Other income was higher in Q2 on account of gains on liquid investments and sale of equity assets
- Higher credit cost due to slippages during the quarter

Notes:
Credit costs include provisions, write offs, foreclosure losses, interest provisions/reversals

Investment Management

Highlights

- Net flows in money market funds and FMPs were the main driver of growth in assets.
- Launched a unique investor education campaign across print, television and social media to spread investor awareness
- Improved P&L on account of asset growth and tight cost controls.
    - The business has achieved break-even on a run-rate basis
- Surviving Fidelity AMC merged with LTIM
    - Intangibles arising from acquisition being amortized in LTIM

Q3FY13	9MFY13	Rs Cr	Q2FY14	Q3FY14	9MFY14
9.6	14.0	Operating Revenue	21.2	22.5	64.7
24.5	43.0	Opex	19.5	21.2	65.2
(14.9)	(29.0)	PAT before excep.items	1.7	1.3	(0.4)
12.3	13.8	Exceptional items[1]	-	-	-
(27.2)	(42.8)	PAT(before amortization)	1.7	1.3	(0.4)
12,064.1	12,064.1	Average AUM[2]	15,078.9	17,002.5	17,002.5
0.3%	0.0%	Management Fees/AUM	0.54%	0.52%	0.54%
(0.87)%	(0.47)%	Net Margin (before amortization)	0.05%	0.03%	(0.00)%

Notes: [1] One time integration costs [3]AUM is quarterly average
Please refer to annexure at the end of this presentation for the asset wise & geography wise AUM disclosures, disclaimers & risk factors

Rank as per AAUM	13th
Portfolio composition	25+ funds
No of investors	8 lakh+
Branch Network	Across 56 cities

AAUM (Rs. Cr)	Q2FY14	Q3FY14	%
Industry	8,08,054	8,76,546	8%
L&T MF	15,078	17,003	13%

AAUM Composition	Q1FY14	Q2FY14	Q3FY14
Equity / Hybrid	36%	31%	28%
Cash / Ultra Short Term	36%	30%	38%
FMP	15%	15%	18%
Other Fixed Income	13%	24%	16%

Investment Management – Outlook & Strategy

Segment	Outlook
Industry Update	• Industry average assets increased by 8% to Rs. 8,76,546 Cr. from Rs. 8,08,054 Cr. based on the quarterly AAUM • Equity assets continue to face net outflow on account of market volatility. • Increase in industry assets was driven by higher inflows in money market category
FY14 Strategy	▪ Evaluating new product launches ▪ Focus on getting further scale in accrual products and FMPs within fixed income ▪ Continued focus on SIP ▪ Opex control through efficient spends and optimal cost structures

Wealth Management

- India's wealth management industry has good potential to scale up given the rising affluent class and the HNWI population growing at 20% CAGR
- L&T Finance Holdings ventured into Wealth Management in FY12 to tap this potential and widen the portfolio of services it provides
- Incorporated L&T Capital Markets Ltd (LTCM), fully owned subsidiary of LTFH in Q4FY13 to support the wealth management business
- LTCM has a dedicated set of research professionals along with senior Private Bankers and offers portfolio of comprehensive products and services.
- As of Dec 2013, the Average Assets Under Service (AUS) has grown to Rs. 5,038.1 Cr with the client base crossing 1,600

Annexure

L&T Finance Holdings

Management Strength

CMD , 38 yrs exp, L&T

President, 30 yrs exp, L&T

MD & CE – LTF
24 yrs exp, SBI Cap, BNP Paribas

CE - FCL
35 yrs exp, Sundaram Fin, Royal Sundaram

CE – LTHF
28 yrs exp, Reliance, Citibank, BOA

Head Corp (LTF)
25 yrs exp, IL&FS

Head – Mid Market
17 yrs exp, BNP Paribas, Commerz Bank

Head Credit & Risk (LTF) 25 yrs exp, BNP Paribas, Burgan Bank

Head –Sales (LTHF)
18 yrs exp, DHFL, ICICI

Head Risk (LTF)
26 yrs exp, SREI

Head Credit (LTHF)
22yrs exp, IDBI, Saraswat Bank

MD & CE – LTIF
33 yrs exp, ICICI, SREI

Head - CBG
23 yrs, ICICI, Reliance

Head IDF & SI
17 yrs exp, IDFC

Head – I&PF
22 yrs exp, SBI

Head PE
21 yrs exp, Q India Investment Partners

CE – LTIM
25 yrs exp, Fidelity, Citibank

Chief Biz Officer
23yrs exp, Kotak Mahindra AMC, ICICI,MS

Head Fixed Income
13yrs exp, Fidelity, ING, ICICI

Head Equities
21yrs exp, Canara Robecco ,DSP Blackrock

Head CRA (Infra)
36 yrs exp, ADB-AFIC, IDBI

CE – Capital Markets
22 yrs exp, Tata Asset Mgmt, Cholamandalam

Head, PWM – LTCM
22yrs exp, EFG Wealth Mgmt, Anand Rathi

Head - FAS
22 yrs exp, RPG Enterprises, IL&FS, GE

Head Treasury
31 yrs exp, Fujitsu ICIM

Group CFO
23 yrs exp, L&T, SREI, ICICI

Head - Operations
27 yrs exp, Edelweiss Tokio Life, ICICI Bk, Dhanalakshmi Bk

Head – Corp Strategy
21 yrs exp, ICICI, J P Morgan, NSE

Head IT
22 yrs exp, AIG SA, Tata AIG, IBM Global

Head Legal
23 yrs exp, Jain Irrigation, Britannia

Head Marketing
31 yrs exp, Fidelity Fund Mgmt, Times Online Money

Head Corp Comm
22 yrs exp, Fidelity, Ogilvy & Mather

Head Internal Audit
21 yrs exp, HSBC AMC

Head– Secretarial & Compliance
30 yrs exp, ACC,L&T

Head HR
14 yrs exp, ICICI Bank, Novartis, GE

CBG- Corporate Business Group SI – Strategic Initiatives IDF – Infrastructure Debt Fund
CSA – Corporate & Regulatory Affairs, PWM – Private Wealth Management I&PF – Infra & Project Finance

L&T Finance Holdings

Corporate Governance

Corporate Governance

- Corporate Governance viewed as an ongoing process at LTFH
  - Over and above regulatory requirements, corporate governance has a fundamental link with the organization's business, corporate responsibility and shareholder wealth maximization

Board of Directors

- Board of Directors is broad based at LTFH level and at the material subsidiary level
  - LTFH board has 5 independent directors, more than that mandated by law
  - Independent directors are present on the boards of all material subsidiary companies, strengthening the corporate governance process
  - Directors on the boards come with rich experience in their respective fields

Committees

- The boards at LTFH level and at the material subsidiary level have constituted the following committees to oversee specific areas –
  - Audit Committee, Shareholders' Grievance Committee, Nomination & Remuneration Committee, IPO Committee, Committee of Directors, Asset Liability Committee and Risk Management Committee
  - Most of these committees are headed by independent directors

Board of Directors

Y.M. Deosthalee, *Chairman and Managing Director*

- Chartered Accountant and Law graduate
- 38+ years at L&T Group
- Member of the Advisory Committee for Liquidity Management set by the Ministry of Finance

N. Sivaraman, *President & Whole-time Director*

- CA; B.Com graduate from Madras University
- 30+ years at L&T Group
- Deep experience in finance, including accounts, M&A, and investor relations

R. Shankar Raman, *Non-Executive Director*

- CA; B.Com graduate from Madras University
- Current CFO of L&T Group
- 30+ years of experience in finance, including audit and capital markets

S. V. Haribhakti, *Independent Director*
Chairman, Audit Committee, LTFH
Chairman, Nomination & Remuneration Committee, LTFH

- CA; Cost Accountant, and a Certified Internal Auditor
- Masters in Management Studies from Uni. of Mumbai
- Chairman of Future Retail (formerly Pantaloon Retail)

A. K. Jain, *Independent Director*

- B.Com graduate from Delhi University
- Masters in Public Admin. from IIPM
- Joint Secretary in Banking Division of Ministry of Finance
- Board of Director for Canara Bank

Harsh C. Mariwala, *Independent Director*

- Chairman & MD of Marico Limited
- 30+ years of experience in building some of the leading Consumer brands in India
- President of FICCI 2010 – 2011.

B. V. Bhargava, *Independent Director*

- Post graduate in commerce and Law graduate from the University of Bombay
- Chairman of the Rating Committee of CRISIL Limited
- Former Vice Chairman and MD of ICICI

P. V. Bhide, *Independent Director*

- Hold MBA, L.L.B and B.Sc degrees
- Retired IAS officer
- Former Finance Secretary; 40+ years experience across various positions in the Ministry of Finance

K. Rao, ***Independent Director***

- B.A. from Harvard and MBA from UPenn
- Chartered Financial Analyst (CFA)
- 15+ years of experience as an investment professional

Risk Management

	Retail & Corporate Finance	Wholesale Finance
Credit Risk	• Centralized framework for evaluation of loan proposals • Strong Analytics team to constantly monitor portfolio and improve quality of sourcing and collection, active usage of credit bureaus	• Proposals evaluated as per internal model & presented to central committee headed by external director to authorize proposals • Regular portfolio review by risk management committee chaired by independent director
Provisioning Policy	• Potential foreclosure losses factored for retail loan provisioning • NPAs up to 540 days - Difference between POS & notional value of asset provided for • NPAs beyond 540 days – Fully provided for • 100% provision against unsecured loans	• SAP up to 40 bps • Voluntary provision of 3% - 8% for identified assets • New restructured standard assets – 5.0% • Existing restructured standard assets – to enhance from 2.75% to 5.0% over 3 years • Restructured standard cases amount to 6.01% of the wholesale finance portfolio

Operational Risk

- Centralized loan authorization and disbursement
- Quality check for data and process compliance
- Centralized receipting to control frauds and leakages
- Change in payment mode- steady movement towards PDC/ECS
- Fully implemented PML and KYC verifications including negative profile filtering

ALM Strategy

- Combination of short term and long term borrowings to match yield and maturities
- Good mix of floating and fixed rate loans to manage basis risks
- Pricing matrix in place to price loans, with periodic review to capture interest rate movement

Rationale for Banking License Application

The Company has submitted an application to the RBI for grant of bank license

Larger Revenue Pool	• Expansion of scope of service offering from transaction banking to term loans • Ability to raise low cost retail deposits

Customers	• Enable widening of customer segment
	  • Lower capital adequacy requirements for better rated corporates
	  • High networth individuals can be serviced
	• Ability to retain customers as they experience services multiple times across several products

Retail Liabilities	• Lowers dependence on wholesale sources of funding
Better Capital Utilization	• Advantage of higher gearing - can be as high as 11-12x on loan assets for a bank as compared to a maximum of 8-9x for NBFCs • Scope to generate RoEs in high teens - equivalent or better than that generated by NBFC
Regulations	• Regulatory framework for NBFCs being brought in line with that of banks

Having built a comprehensive portfolio, banking would be a logical step in our financial services journey

Impact of Conversion into a Bank

LTFH to be promoter

- NOFHC to be 100% owned by LTFH which in turn will hold the bank
- All lending businesses will need to be merged into the bank

Regulatory norms

- CRR/SLR norms will have to be met from day one
  - There is scope to effectively manage transition of existing businesses into the bank
  - Lease/hire purchase business, IDF, AMC, PWM, Insurance can remain out of the bank
- PSL norms and 25% of branches in rural areas
  - PSL obligations an opportunity; scope to build upon the existing PSL book in our portfolio
  - Leverage on existing understanding of the rural markets through the 500+ points of presence to set up rural branches

Impact on Returns

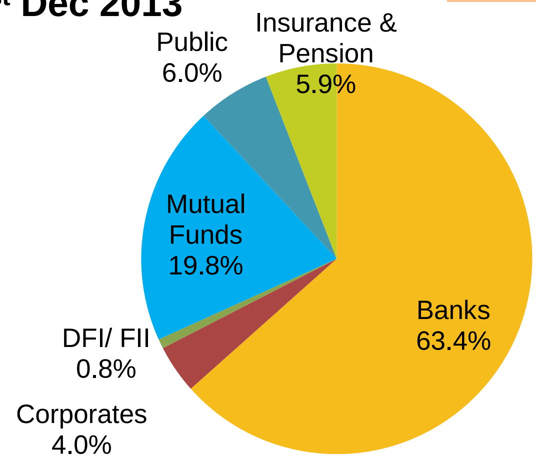
- Initial capital infusion would be low to minimal
  - Investments in setting up of best in class technology platform, systems and risk management processes would be an ongoing process
  - Networth of existing NBFCs would be utilized towards opening capital of the bank
  - 25% rural branches would invite minimal incremental investment
  - Returns would be slightly subdued in the near term
- Initial negative carry on CRR/SLR depending on deposit costs and SLR yields
- Impact of more stringent NPA recognition norms
  - Mitigated to an extent by additional provisions in NBFCs
- Ability to replace borrowings with low cost CASA, making optimum use of increased leverage and reaping benefits of expanded scope of business to determine steady state profitability

Long term advantages and our vision of being a comprehensive financial player outweigh the short term challenges

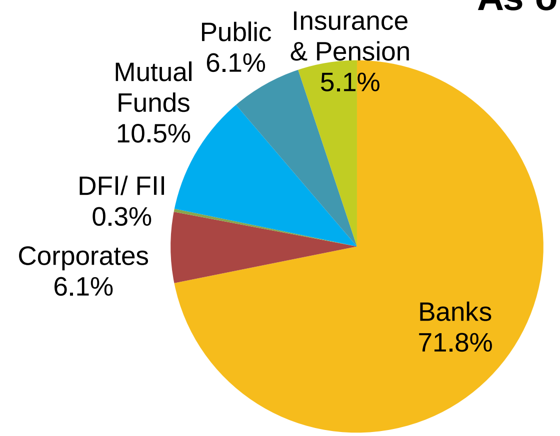
Debt Composition – Source Wise

Retail & Mid-Market Finance

As on 31st Dec 2013

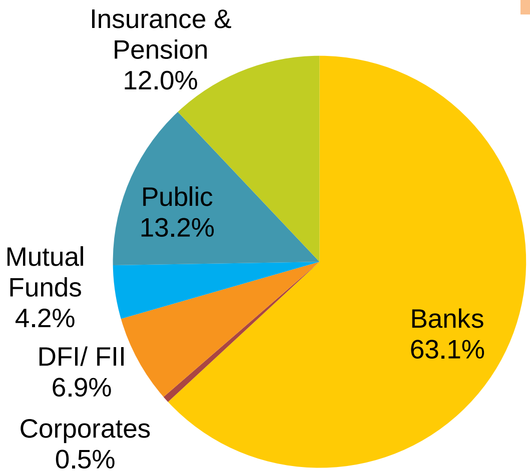


As on 30th Sep 2013

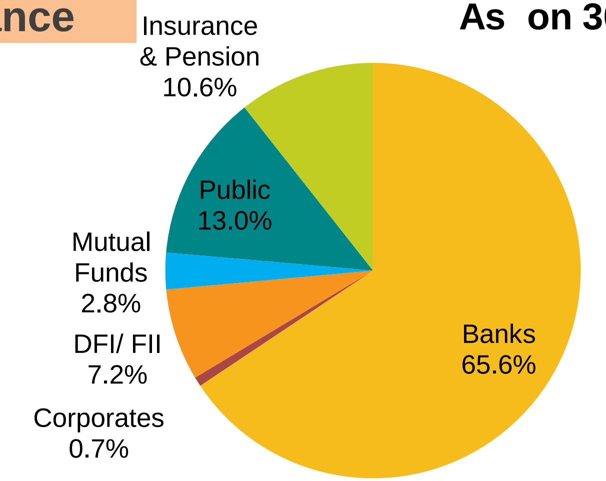


Wholesale Finance

As on 31st Dec 2013



As on 30th Sep 2013

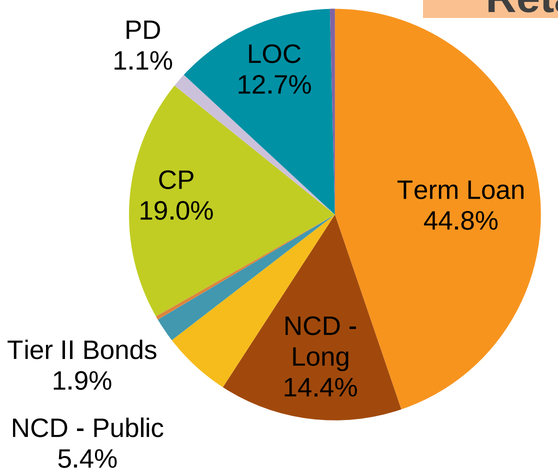


L&T Finance Holdings

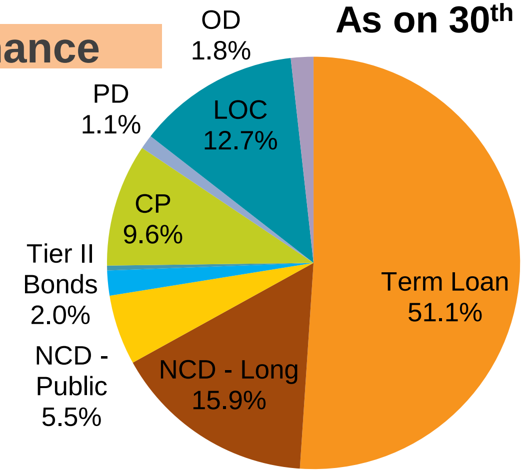
Debt Composition – Instrument Wise

Retail & Mid-Market Finance

As on 31st Dec 2013

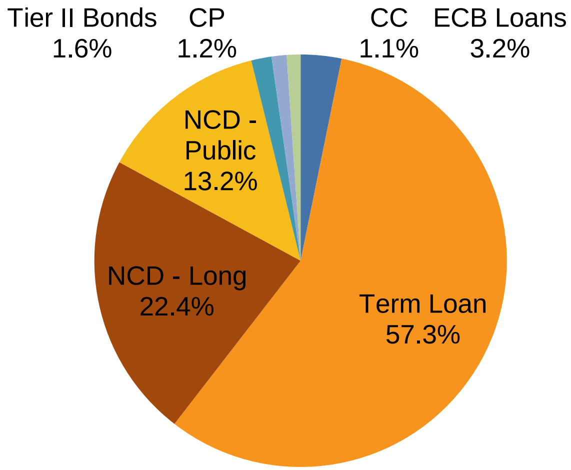


As on 30th Sep 2013

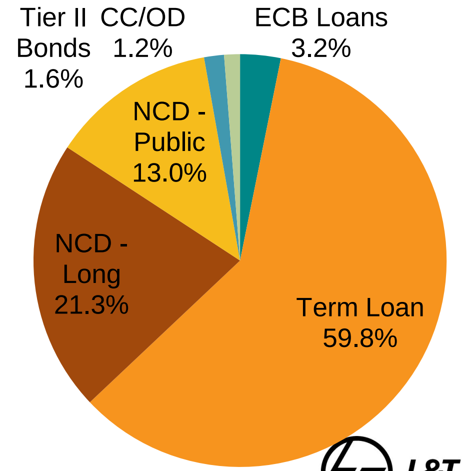


Wholesale Finance

As on 31st Dec 2013



As on 30th Sep 2013



L&T Finance Holdings

AUM Disclosure for Dec 2012

ASSETS UNDER MANAGEMENT ("AUM") REPORT FOR THE QUARTER ENDED DECEMBER, 2012

Table I

Asset class wise disclosure of AUM & Average AUM		
		Rs. in Lakhs
	AUM as on the last day of the Quarter	
Income	273606.70	354098.59
Equity (other than ELSS)	405790.57	414411.60
Balanced	0.00	0.00
Liquid	308838.33	302361.01
Gilt	2846.55	5734.54
Equity - ELSS	124243.46	123465.51
GOLD ETF	0.00	0.00
Other ETF	0.00	0.00
Fund of Fund investing overseas	6539.94	6338.77
Total	**1,121,865.56**	**1,206,410.02**

Table II

Disclosure of percentage of AUM by geography	
Geographical Spread	% of Total AUM as on the last day of the Quarter
Top 5 Cities	72%
Next 10 Cities	14%
Next 20 Cities	5%
Next 75 Cities	5%
Others	4%
Total	**100%**

AUM Disclosure for Sep 2013

ASSETS UNDER MANAGEMENT ("AUM") REPORT FOR THE QUARTER ENDED SEPTEMBER 2013

Asset class wise disclosure of AUM & AAUM

Rs. in Lakhs

Category	AUM as on the last day of the quarter i.e September 30, 2013	Average AUM for the quarter
Income	633,499.81	710,544.60
Equity (other than ELSS)	324,929.55	329,967.95
Balanced	0.00	0.00
Liquid	524,698.08	346,831.45
Gilt	4,281.63	4,430.92
Equity - ELSS	107,886.50	108,752.71
GOLD ETF	0.00	0.00
Other ETF	0.00	0.00
Fund of Fund investing overseas	8,076.00	7,359.62
Total	**1,603,371.57**	**1,507,887.25**

Disclosure of percentage of AUM by geography

Geographical Spread	% of Total AUM as on the last day of the quarter
Top 5 Cities	74%
Next 10 Cities	15%
Next 20 Cities	4%
Next 75 Cities	3%
Others	3%
Total	**100%**

L&T Finance Holdings

AUM Disclosure for Dec 2013

ASSETS UNDER MANAGEMENT ("AUM") REPORT FOR THE QUARTER ENDED DECEMBER 2013

Asset class wise disclosure of AUM & AAUM

Rs. in Lakhs

Category	AUM as on the last day of the quarter i.e December 31, 2013	Average AUM for the quarter
Income	707,618.41	676,283.65
Equity (other than ELSS)	338,394.67	335,375.56
Balanced	0.00	0.00
Liquid	654,142.85	557,410.05
Gilt	11,482.54	7,937.65
Equity - ELSS	117,028.25	114,123.66
GOLD ETF	0.00	0.00
Other ETF	0.00	0.00
Fund of Fund investing overseas	9,986.92	9,120.07
Total	**1,838,653.64**	**1,700,250.64**

Disclosure of percentage of AUM by geography

Geographical Spread	% of Total AUM as on the last day of the quarter
Top 5 Cities	71%
Next 10 Cities	17%
Next 20 Cities	5%
Next 75 Cities	3%
Others	3%
Total	**100%**

"L&T Finance Holdings will be an admired and inspirational financial institution, creating sustainable value for all its stakeholders."

L&T Finance Holdings
8th Floor, City 2, Plot No 177,
Vidyanagari Marg, C.S.T Road, Kalina,
Santacruz (E), Mumbai 400 098

L&T Finance Holdings